

Morning News & Views - Asia

A Summary of Select Global Markets Research

14 September 2026

KEY FORECAST CHANGES

SECURITY / SECTOR	TICKER	RATING		CURR	TARGET PRICE			CURR	CUR YEAR EPS		NEXT YEAR EPS	
		OLD	NEW		OLD	NEW	U/D%		OLD	NEW	OLD	NEW
TARGET PRICE CHANGES												
China Leadshine Technology	002979 CH	Buy	-	CNY	56.40	69.40	+36.5	CNY	0.92	1.14	1.20	1.55
GDS Holdings	GDS US	Buy	-	USD	48.40	45.70	+42.8	CNY	1.27	-45.54c	-2.01	-4.60
Himile	002595 CH	Buy	-	CNY	68.04	55.33	+37.4	CNY	2.50	2.27	3.09	2.89
iFlytek	002230 CH	Neutral	-	CNY	50.00	40.00	+1.9	CNY	51.47c	47.88c	66.48c	61.19c
Kia Corp	000270 KS	Buy	-	KRW	250000.00	220000.00	+73.8	KRW	20,607	20,234	21,894	20,651
Kingsoft Cloud	3896 HK	Buy	-	HKD	8.50	8.20	+51.3	CNY	-5.63c	-18.70c	2.85c	-12.12c
Kingsoft Office	688111 CH	Buy	-	CNY	434.00	336.00	+42.8	CNY	4.88	4.82	6.13	6.03
Panjit International	2481 TT	Buy	-	TWD	195.00	214.00	+38.5	TWD	5.29	5.42	7.79	8.55
SDI Corporation	2351 TT	Buy	-	TWD	251.00	327.00	+38.9	TWD	6.96	7.51	9.97	11.68
Ultrajaya Milk Industry & Trading	ULTJ IJ	Buy	-	IDR	3000.00	3500.00	+131.8	IDR	158.82	186.58	178.60	211.02
VNET Group	VNET US	Buy	-	USD	13.00	11.30	+67.4	CNY	-7.41	-8.40	1.61	1.60

*U/D % = Potential Up/Downside %

HIGHLIGHTS FOR TODAY

Greater China power semi - Quarterly outlook updates

Kenny Chen - NITB / Aaron Jeng, CFA - NITB / Donnie Teng - NIHK / Eric Chen, CFA - NITB

Growing demand across the board with favorable pricing trends

We remain positive on the power semi sector. We remain positive on our power semi coverage stocks, as our recent industry channel checks suggests: 1) global integrated device manufacturers' (IDMs) positive demand outlook across the board, especially the fast-growing AI datacenter/infrastructure-related demand, along with spec upgrades, are driving more auto semi demand; and 2) continued lengthening of delivery lead time and favorable pricing of power discretes, driven by healthy end demand, lean inventory at distributor channels in general, and supply chain tightness in near-term. Global IDMs' 2Q26 earnings calls suggest healthy market demand conditions, with positive 3Q26E outlook. Global IDMs' 2Q26 (Jun-2026 quarter) earnings results continued to show improvement in revenue growth and margin expansion.

Anchor Report: China AI value chain - Eyeing a longer and durable AI adoption cycle

Bing Duan - NIHK / Ethan Zhang - NIHK / Jialong Shi - NIHK / Rachel Guo - NIHK / Jialin Zhang, CFA, CPA - NIHK / Frank Fan - NIHK / Joel Ying, CFA - NIHK

What to expect for LLM and application upgrades, token economy and ROI

Where are we now in this generative AI development cycle? – Open source vs closed source LLM, agent AI, edge AI and industrial LLMs. More than three years have passed since OpenAI (unlisted) launched ChatGPT in end-2022, yet the global race for generative AI has not slowed down. We expect an accelerated cycle for large language models (LLMs), as top-tier players are likely to upgrade their platforms every 3-6 months, in our view. While global players strive to achieve higher intelligence with closed-source LLMs (Fig. 3), China has taken a different path – an open-source ecosystem, offering a more cost-effective option for the market (Fig. 6). We think the global LLM market will continue to invest proactively in AGI, which will have a profound impact on our societies and economies. We identify agentic AI, edge AI and industrial LLM models as the key elements driving further AI adoption in the next 1-3 years, and more sustainable investment in AIDC infrastructure.

- VNET Group (VNET US, Buy, TP USD 13→USD 11.3)
- Kingsoft Cloud (3896 HK, Buy, TP HKD 8.5→HKD 8.2)
- iFlytek (002230 CH, Neutral, TP CNY 50→CNY 40)
- Kingdee (268 HK, Buy, TP HKD 11.87)
- GDS Holdings (GDS US, Buy, TP USD 48.4→USD 45.7)
- Kingsoft Office (688111 CH, Buy, TP CNY 434→CNY 336)

AROUND THE WORLD

Matsuzawa's View: Macro Strategy Weekly - Sharp swings in FX and rates market, while stock market remains relatively calm

Naka Matsuzawa - NSC

Diverging interpretations and three points of contention

In the week of 14 September, this author expects equities to be soft, bonds to be solid, the dollar to be soft, and the yen solid. Market participants remain sharply divided over how to interpret the dramatic volatility in the FX and rates markets over the past two weeks. The key points in contention are (1) whether the downtrend in the yen has ended, (2) whether 5.0% yields on US 10yr USTs and 3.0% on 10yr JGBs represent support lines or waypoints, and (3) whether higher yields and a stronger yen will halt the uptrend in equities. This author thinks that (1) the yen's downtrend has ended, (2) rates will stabilize for now at around 5.0% for US 10yr yields and 3.0% for 10yr JGB yields, and (3) equities will correct but the upward trend will continue.

Matsuzawa Morning Report - Conditions for ongoing flattening in Japanese bond market (3)

Naka Matsuzawa - NSC

Will neutral rate expectations decline?

The market's neutral rate forecast is around 2.9%, above the upper end of the BOJ's estimated range. There are few domestic factors that would push neutral rate forecasts higher; they are more likely to decline in response to yen appreciation and falling equities. The biggest risk is that the forecast will begin moving in line with overseas trends as momentum builds in the US for an upward adjustment of neutral rate forecasts by the Fed and markets. In the event of higher US yields and risk-off flows, terminal-rate forecasts may fall first, potentially leading to bull steepening. Today's Japanese markets. In Japanese markets on Friday, this author expects bonds and equities to be weak (in overnight futures trading, bonds and equities were down 35 sen and JPY1,220, respectively, over OSE). In overseas markets yesterday, European and US yields surged following the ECB's hawkish stance and a higher-than-expected US PPI reading.

ALSO INSIDE TODAY...

REGIONAL / REGIONAL MARKET STRATEGY / REGIONAL SECTOR STRATEGY / REGIONAL ECONOMIC ANALYSIS

Quick Note - ASEAN palm oil - Key newsflow (September 5–11)

Raghavendra Divekar, CFA - NSM / Amol Dongre - NSFSP

We expect average CPO price to remain stable at ~MYR4,600/MT by 17 September. The spot price for CPO (crude palm oil) was down 1% w-w at MYR4,609/MT in the week ended 10 September, according to the Malaysian Palm Oil Board (MPOB). This was largely due to the higher-than-expected August inventory for Malaysia and the weaker-than-expected exports. For next week, we expect prices to remain stable, as improving exports balance concerns over high inventory in Malaysia. Overall, we expect the average CPO price to remain stable at ~MYR4,600/MT by 17 September. However, if exports strengthen on higher demand, CPO prices could rise to over MYR4,700/MT, in our view. Malaysia's palm oil reserves continued to rise in August. On 10 September, the MPOB released its Malaysia palm oil data for August, showing that inventory levels increased by 7.5% m-m in August to 2.82mn MT.

Asia Economic Monthly - China shock or China +1: Asia's changing trade imbalance

Sonal Varma - NSL / Ting Lu - NIHK / Euben Paracuelles - NSL / Aurodeep Nandi - NFASL / Jeong Woo Park - NSL / Kyohei Morita - NSC / Andrew Ticehurst - NAL

Asia's trade deficit with China is much larger than with the US and Europe, but behind this deficit lies deeper integration, not just greater competition.

Please participate in our anonymous real-time survey.

First Insights - India: RBI Governor signals liquidity absorption and data dependent policy: OMO sales announced

Sonal Varma - NSL / Aurodeep Nandi - NFASL

The focus is liquidity normalization via OMO sales (INR1trn announced for Sep) and FX swaps. The October meeting is live but not a done deal.

Governor Malhotra's views. RBI Governor Malhotra spoke to CNBC-TV18 on *bumper FCNR(B) flows*, the *liquidity overhang*, growth-inflation assessment and the RBI's monetary policy framework. Key highlights of the interview follow: On bumper FCNR(B) inflows: Governor Malhotra welcomed the impressive ~USD127bn in total inflows through the FCNR(B) window (~USD136bn and counting including other swap windows). He resisted the view that this would be a cost on the RBI, stating that the RBI could also earn interest income by investing the flows in foreign securities. Instead, he argued that this was a necessary intervention to stabilize the rupee. He also clarified that around 48.5% of the deposit inflows were for 5 years of maturity, around 42% in 3-4 year

maturity, and 9% in the 4-5 year maturity.

The Economy Next Week - The moment of truth

Aichi Amemiya - NSI / George Buckley - NIPL / Ting Lu - NIHK / Kyohei Morita - NSC / Euben Paracuelles - NSL / Jeremy Schwartz - NSI / Rob Subbaraman - NSL / Sonal Varma - NSL

We changed our call and now expect a Fed hike instead of a hold, while another BOJ hike is all but certain.

HIGHLIGHTS OF THE WEEK. *Asia Economic Monthly: China shock or China +1 – Asia's changing trade imbalance* Asia's trade deficit with China is much larger than with the US and Europe. *Japan: Recap of response to closure of Strait of Hormuz and future risks* Focus is likely to shift from agile emergency response to sustainability of alternative procurement. *Japan: September BOJ Monetary Policy Meeting preview* focus likely to be on whether there is a 50bp proposal or dissenting votes, and the pace of future rate hikes. *Europe: ECB review – 3.00% is the magic number* The decision to raise rates was unanimous and robust under all the ECB's scenarios, including the milder one, as we had expected. *United Kingdom: BoE preview – High energy, low certainty* We expect unchanged rates and communications similar to July, namely little in the way of guidance and a 6-3 vote. *China: EU-China trade tensions – The slow burn continues* The widening imbalance is becoming increasingly hard to ignore.

Policy Watch - September FOMC Preview – We now expect the Fed to hike

Aichi Amemiya - NSI / Jeremy Schwartz - NSI / Ruchir Sharma - NSI

We now expect the FOMC to raise rates by 25bp at their September meeting next week, followed by another hike in December. Chair Warsh's hawkish turn in his *Jackson Hole speech*, elevated August core PCE inflation estimates, and the recent spike in crude oil prices justify policy tightening. The dot plot is likely to be revised higher than in *June*, with the median 2026 rate expectation suggesting two rate hikes in total this year. We expect officials to revise down only slightly their 2026 inflation expectations due to *upcoming methodology adjustments* for PCE inflation. By contrast, changes to the median forecasts for real GDP and the unemployment rate will likely be hawkish. Warsh is unlikely to provide forward guidance on the next policy action at his press conference. We expect the reaction function will remain "data-point dependent," with a high sensitivity to monthly inflation surprises. We expect the Fed to raise rates at the September meeting (Fig. 1 & 2).

Economic Insights - US: Monthly Inflation Monitor

Aichi Amemiya - NSI / Jeremy Schwartz - NSI / Ruchir Sharma - NSI

Core CPI inflation came in above expectations, accelerating to 0.290% m-o-m (Nomura: 0.224%, Consensus: 0.2%) from 0.215% in July (Fig. 1). Supercore CPI rose 0.51% m-o-m, its highest monthly print since January, driven by unexpected strength in wireless telecom service prices (Fig. 2), which seemed one-off. Without the surprise, the underlying trend of CPI service inflation has not changed in our view. Core goods inflation slowed due to subdued tech-related price pressures. CPI data suggest that August core PCE inflation likely accelerated to 0.278% m-o-m from 0.246% in July. The largest driver of the upgrade was supercore components, which likely picked up to 0.394% m-o-m in August from 0.280% in July. With our updated core PCE inflation forecast, we changed our Fed call and now expect *two rate hikes this year, in September and December*. Core CPI inflation came in stronger than expected, rising by 0.290% m-o-m, 7bp higher than expectations (Nomura: 0.224%, Consensus: 0.2%).

US Economic Weekly - Take a hike

Aichi Amemiya - NSI / Jeremy Schwartz - NSI / Ruchir Sharma - NSI

We *expect* the FOMC to raise rates by 25bp at their September meeting next week, followed by another hike in December. Stalled inflation progress and increasing upside risks to inflation from elevated energy prices justify policy tightening. We expect hawkish revision to the economic projection on net. Chair Warsh is unlikely to provide forward guidance or clarify inflation threshold for another hike. August CPI and PPI data came in higher than our expectation. We estimate *core PCE rose 0.278% m-o-m in August*, a significant acceleration from the prior months. Growth data likely remained upbeat in August. We expect a rebound in retail sales and an acceleration in industrial production. A September hike is now our base case. We have updated our Fed forecast and now expect 25bp hikes at the September and December meetings (Fig. 1 & 2). We had previously expected an indefinite pause.

HONG KONG / CHINA

China Leadshine Technology (002979 CH) (Buy) - Core recovery beats; robotics orders gain traction (TP CNY 56.40→CNY 69.40)

Xiaoming Ma - NOI / Peiyu Li - NOI

Maintain Buy and raise TP to CNY69.40, implying 36.5% upside

1H26 results beat; revenue and gross margin rose across all three segments. According to Leadshine's 1H26 results, revenue/net profit rose 39.9%/62.8% y-y to CNY1.25bn/CNY0.19bn, while gross margin increased 0.4pp y-y to 39.2%. Results were above our forecasts. Revenue and gross margin improved across all three business segments. Control technology/stepper systems/servo systems generated revenue of CNY0.20bn/CNY0.38bn/CNY0.66bn, up 37.1%/22.5%/54.8% y-y, with gross margin rising 1.1pp/1.2pp/1.3pp y-y to 63.8%/43.9%/29.0%. We attribute the strong results mainly to a recovery in OEM automation demand, a higher contribution from high-end products and key accounts, and effective cost controls. According to MIR, China's OEM automation market reached c.CNY69.7bn in 1H26, up c.7.7% y-y, indicating improving industry demand. Growth accelerated in 2Q26, with revenue of CNY0.72bn, up 44.1% y-y/37.4% q-q, and net profit of CNY0.12bn, up 92.5% y-y/68.5% q-q.

GDS Holdings (GDS US) (Buy) - Strong order backlog with long-term visibility (TP USD 48.40→USD 45.70)

Ethan Zhang - NIHK / Bing Duan - NIHK

Reiterate Buy with TP trimmed to USD45.7

2Q26 results in line with the company's raised order intake target. GDS reported 2Q26 results with service revenue and adjusted EBITDA growing 6.5% y-y and 2.5% y-y, respectively – largely in line with market expectations (see [our note](#)). The company registered 263MW of new contracts in 2Q26, bringing total order intake for 1H26 to 471MW. Management has further raised its new bookings target to 1GW (previously 500MW) for FY26E, in addition to another 1GW of power reservations by customers by end-FY26E. Revenue guidance for FY26E was revised up to CNY12.7-13bn and adjusted EBITDA guidance was also raised to CNY5.9-6.1bn, to reflect the one-off items in 1Q26. Strong order backlog, though move-in still skewed toward 2H27F and beyond. With 1GW of new bookings guided for this year, we expect GDS to achieve order backlog of ~1.2GW by end-FY26F, more than doubling from 450MW as of end-FY25.

Himile (002595 CH) (Buy) - Earnings drag; capacity extends growth runway (TP CNY 68.04→CNY 55.33)

Xiaoming Ma - NOI / Peiyu Li - NOI

Maintain Buy; cut TP to CNY55.33, implying 37.4% upside

1H26 net profit missed; higher labor costs and FX losses weighed on earnings. According to Himile's 1H26 results, the company's revenue rose 14.3% y-y to CNY6.02bn, while net profit declined 5.3% y-y to CNY1.13bn, slightly below our estimate. Blended gross margin fell 2.1pp y-y to 32.4%. By segment, gross margins for tire molds/large mechanical components declined 3.7pp/4.4pp y-y to 36.5%/19.9%, while CNC machine tools gross margin increased 4.6pp y-y to 40.8%. According to the company's IR record dated 29 August 2026, the earnings pressure mainly reflected: 1) FX volatility, which resulted in an FX loss of c. CNY100mn in 1H26, vs. an FX gain of c. CNY66.27mn in 1H25; and 2) higher labor costs from building headcount ahead of capacity expansion; projects under construction are larger than in prior years, and advance recruitment temporarily raised labor costs. Robust overseas demand; capacity ramp-up expands the long-term growth runway.

Midea Group (000333 CH) (Buy) - Steady growth supported by balanced strategy (TP CNY 99.50)

Jizhou Dong, CFA - NIHK / Summer Qian - NIHK

OBM and 2B segments are main growth drivers; focus on shareholder return another positive; maintain Buy

Overseas and 2B businesses as main drivers for Midea. We hosted a non-deal roadshow with Midea in Tokyo (9-10 September), meeting long-term, value-biased institutional investors. During the meetings, investors showed great interest in Midea as a global leading player in home appliances and commercial solutions. Investors were particularly interested in three areas of Midea's business and operations, namely the sector dynamics and outlook of China's domestic 2C market, Midea's diversified sales drivers, and the company's shareholder return policies. We believe Midea's overseas and 2B businesses have become increasingly important growth drivers for the company, which have also differentiated it from its major peers. Midea's efforts to advance its OBM transformation and improve its capabilities for building technologies/robotic automation will sustain its sales momentum in the long run, in our view.

Quick Note - SBP (1177 HK) (Buy) - Acquires 5% additional stake in CTTQ from major shareholder (TP HKD 8.67)

Jialin Zhang, CFA, CPA - NIHK

What is new? SBP to spend CNY4.5bn to buy additional 5% stake in CTTQ from Mr. Tse Eric S Y. On 11 September, post market close, SBP announced to acquire an additional 5% stake in Chiatai Tianqing (CTTQ, unlisted, one of SBP's subsidiary) for a consideration of CNY4.48bn (payable in cash), equivalent to CTTQ's equity value of CNY89.6bn. The stake has been purchased from one of SBP's executive director and substantial shareholder – Mr. Tse, Eric S Y. Following this transaction (expected to close by the end of this month), SBP's stake in CTTQ would rise to 65% from 60%. According to the announcement, the transaction is based on the last twelve months (LTM) adjusted earnings multiple of 19x, lower than comparable HK-listed companies' 18-46x P/E range (median: ~26x). Management expects this acquisition to enhance profitability for SBP in the near term, while capitalizing on CTTQ's long-term growth prospects.

VNET Group (VNET US) (Buy) - Key beneficiary of AIDC rollout in northern China (TP USD 13.00→USD 11.30)

Ethan Zhang - NIHK / Bing Duan - NIHK

Reiterate Buy with a revised TP of USD11.3

Strong order intake announced in 2Q26. VNET delivered revenue and adjusted EBITDA growth of 14.2% and 25.4% y-y, respectively, in 2Q26, largely in line with our estimates (see [our note](#)). Notably, VNET announced additional order wins of 347MW in 2Q26, including one key order of 345MW from a cloud service provider, bringing YTD total new wholesale bookings to 862MW. New capacity delivery was at 99GW during the quarter, with cumulative wholesale capacity in service reaching over 1GW by the end of the quarter. VNET maintained an unchanged delivery target of 450MW for FY26E (2H26E: 333MW) followed by 252MW delivery for 1H27E. Net additions of wholesale capacity utilized was 57MW in 2Q26, with period-end utilization rate of 73.9%. Management also indicated that the company has secured new land bank of ~1.5GW in 2Q26, including ~500MW in overseas regions. We expect the company to achieve ~1GW order wins within FY26F, supporting its fundamental growth in FY27-28F.

China consumer - Weakened sales performance of mass-market mall in Jul-Aug

Jizhou Dong, CFA - NIHK / Summer Qian - NIHK

Lower store conversion dragged sales performance in Jul-Aug; pressure could persist during Sep-Oct 2026E

We hosted a channel check call (11 September) with an expert with deep knowledge of China's mass-market consumption trend, who provided observations on one of China's biggest mass-market-targeted shopping mall networks. From the perspective of geographic/city tier, the expert's observations were focused on Eastern China's tier-2, 3 and 4 cities as well as the remote areas of tier-1 cities. There are around 135-140 such mass-market targeted commercial malls under the expert's monitoring. Our key takeaways from the call are summarized in this note. Further weakened sales performance, though foot traffic saw some

improvement. According to the expert, the overall sales performance of these commercial malls was further weakened during Jul-Aug in 3Q26, with low-teens-percentage y-y decline in sales value, from the high-single-digit-percentage (HSD%) y-y decline in 2Q26.

INDIA

India oil and gas - Oil breaches USD100/bbl as Iran crisis drags on

Bineet Banka, CFA - NFASL

OMCs tracking well for a decent 2Q; risk of higher gas prices on record low EU inventory heading into winter

OMCs may see a sharp recovery in 2Q on full quarter impact of price hikes. Despite headline crude oil prices breaching the psychological mark of USD100/bbl recently, we estimate healthy earnings recovery for oil marketing companies (OMCs) given lower average crude oil price in the quarter (despite assuming current high prices for the remaining part of the quarter), a full quarter impact of petrol/diesel price hike taken in May, and lower LPG underrecovery q-q. We estimate the highest integrated margins for OMCs at USD6-12/bbl in 2Q (assuming Brent at USD107/bbl for the rest of the quarter) since the December quarter. As such, we estimate IOCL (IOCL IN, Buy) and BPCL (BPCL IN, Buy) to report PBT of INR32bn and INR26bn, respectively, while HPCL (HPCL IN, Neutral) may report a loss of INR28bn in 2QFY27F. We prefer IOCL and BPCL given their higher exposure towards refining, while HPCL may continue to face challenges from higher oil price due to its higher marketing leverage, where OMCs are recording deep losses due to their inability to pass on increased costs.

INDONESIA

Ultrajaya Milk Industry & Trading (ULTJ IJ) (Buy) - Twin growth engines (TP IDR 3,000→IDR 3,500)

Heng Siong Kong - NSM

Maintain Buy with a higher TP of IDR3,500 (from IDR3,000)

Acceleration in UHT milk demand continues. The market size for UHT milk in Indonesia has expanded at a rapid pace of ~30% y-y (10% organic growth + 20% incremental demand from the free meal program) over the past three quarters, by our estimate. Historically, organic demand for UHT milk has been driven by shifting consumption from powder milk, improving buying power, greater health awareness, and low product market penetration of <50%. In recent quarters, however, the free meal program has created new demand, where some kitchens procure branded UHT milk of any pack size (125ml-1,000ml) directly from distributors and retailers at market price. Note that currently there are around 20k kitchens operational and most of them do not include milk in the menu yet. Recently, the National Nutrition Agency recommended including standardized UHT milk as complementary protein in free meal program kitchens, which we believe will result in more kitchens serving UHT milk going forward.

KOREA

Kia Corp (000270 KS) (Buy) - Physical AI de-rating prompts TP cut to KRW220,000 (TP KRW 250,000→KRW 220,000)

Angela Hong - NFIK

Strong 2H sales drive resilient core earnings amid FX headwinds; maintain Buy

Action: Maintain Buy; lower TP to KRW220,000, implying 74% upside. We maintain Buy but reduce our SOTP-based TP by 12% to KRW220,000 (Fig.2). Key downside drivers are: 1) KRW's appreciation; 2) a reduced physical AI fair valuation (Boston Dynamics [BD; unlisted; Kia's effective stake is 19%] from KRW115bn to KRW55bn by applying Atlas ASP of USD50k). Kia's QTD August global wholesales were strong (+9% y-y), as guided. We expect this solid trend to persist through the year-end, driven by US market share gains and key new HEV models, including Seltos, Sportage and Sorento. While traditional auto earnings face headwinds from rate hikes and FX appreciation, we believe Kia's long-term re-rating story remains anchored in strong brand positioning across the US, Europe and India, alongside its transformation into a leading position in global robotics and software-defined vehicles (SDVs). The primary downside risk to our TP is KRW's appreciation vs the USD.

MALAYSIA

Quick Note - RHB Bank (RHHBANK MK) (Neutral) - NDR takeaways: Focus on CASA, cost optimization, wealth as levers for PROGRESS27 (TP MYR 9.20)

Tushar Mohata, CFA - NSM / Alpa Aggarwal, CFA - NSFSP

We hosted RHHBANK Group MD/CEO Dato' Mohd Rashid Mohamed and the management team for investor meetings in Singapore on 4 September 2026. Recurring themes in the meetings were RHHBANK's CASA strategies including the recently launched RHBPay, broader non-interest income outlook (including wealth), cost optimization progress, capital management strategy. RHB maintained its ROE target of 10.8%-11.0% in FY26E and 12% by FY27E, compared with around 10.5% in FY25 and 10% in 1H26, while acknowledging that the FY27E target remains demanding but intends to use levers such as commercial-banking growth, better funding and asset mix, higher wealth-management income, cost savings, stable asset quality and more efficient capital management. RHHBANK has seen several innovations as part of its funding strategy.

TAIWAN

Panjit International (2481 TT) (Buy) - Favorable pricing, product mix to elevate 2H26-2027F profit margins (TP TWD 195.00→TWD 214.00)

Kenny Chen - NITB / Aaron Jeng, CFA - NITB

New AI datacenter orders remain major growth driver

More positive on Panjit's AI datacenter power MOSFET supply chain position. Our recent market survey suggests sustained tight

supply of select power discrete products in 2H26F, such as power/small signal MOSFET, and diodes. Future Electronics' monthly report indicates lengthened lead times for many MOSFET and diode variants in Jul/Aug 2026, along with an uptrend in pricing (Fig 5). On the other hand, SDI's (2351 TT, Buy) management indicated that IDM customers are placing more lead frame orders to the company with favorable pricing in 2H26E, in order to meet stronger AI-datacenter demand and to secure market share. As some products' lead times have reached historical record levels (for e.g., select Schottky/switch diodes and LV/HV MOSFET lead times reached 52 weeks in Aug 2026, vs 20 weeks a year ago), and with limited capacity expansion among IDMs/ foundries in the near term, we expect the tight supply to continue in 2H26-1H27F.

SDI Corporation (2351 TT) (Buy) - Stronger power lead frame outlook in 2H26-2027F (TP TWD 251.00→TWD 327.00)

Kenny Chen - NITB / Aaron Jeng, CFA - NITB

Heat spreader products the cherry on top; maintain Buy

We see further 2026/27F growth potential from power lead frame and heat spreader. Our recent industry channel checks suggests: 1) stronger power lead frame demand, especially from AI datacenter related in 2H26-2027F: As mentioned *in our previous note*, global integrated device manufacturers' (IDM) 3Q26E sales outlook continues to show strength (3Q26E weighted average revenue y-y of +17% / q-q of +7%, vs +18% / +11% in 2Q26; this implies the fifth quarter of y-y expansion since 3Q25). Specifically, a few of SDI's key IDM customers at their 2Q26 earnings calls raised 2026-27E AI datacenter revenue with stronger demand and faster capacity expansion (two customers' 2027E-related sales should double y-y, according to our channel checks).

UPCOMING EVENTS

Date	Location	Event
Oct 7	Taipei	Nomura Taiwan Macro Outlook
Nov 30-Dec 4	Tokyo	Nomura Investment Forum 2026
Dec 3-4	Tokyo	Nomura Global Real Estate Forum 2026
Dec 7-8	Singapore	Nomura Taiwan Corporate Day 2026
Dec 9-10	Hong Kong	Nomura Taiwan Corporate Day 2026

INDICES

	Last Price	1D%	YTD
TOPIX Index (Tokyo)	4054.58	0.2%	18.9%
Nikkei 225	65270.95	0.2%	29.7%
Dow Jones Industrial Average	52064.1	-0.6%	8.3%
NASDAQ	26081.73	-0.7%	12.2%
S&P 500	7591.7	-0.6%	10.9%
FTSE 100	10608.92	-0.6%	6.8%
CAC	8116.76	-0.5%	-0.4%
Xetra DAX	25361.15	-0.8%	3.6%
Hang Seng	24954.47	-1.3%	-2.6%
Shanghai A shares	4125.36	-0.4%	-0.9%
CSI 300	4548.39	-0.5%	-1.8%
HSCEI	8274.78	-1.1%	-7.2%
TWSE	46940.49	-0.5%	62.1%
KOSPI	7033.92	-0.3%	66.9%
SET	1615.07	-0.2%	28.2%
Straits Times	5689.75	-0.7%	22.5%
Kuala Lumpur Composite	1705.52	-0.5%	1.5%
Jakarta Composite Index	6589.34	-1.3%	-23.8%
Philippines Stock Exchange PSEi Index	6099.23	-0.3%	0.8%
ASX 200	8819.36	-1.0%	1.2%
SENSEX 30	74902.59	0.2%	-12.1%

Source: Bloomberg

COMMODITY PRICES AND RISK INDEX

	Last Price	1D%	YTD
Brent crude future	108.27	7.0%	79.8%
Crude (Brent oil price)	108.27	7.0%	77.8%
Gold spot price	4318.31	-1.8%	-0.0%
CBOE SPX Volatility	17.84	8.4%	19.3%
REUTERS CRB Index	429.15	1.4%	43.6%
US Generic Govt 10 Year Yield	4.96	2.4%	19.0%

Source: Bloomberg

MAJOR CURRENCIES AGAINST US\$

	Last Price	1D%	YTD
AUD*	0.72	-0.8%	7.3%
EURO*	1.16	-0.2%	-1.2%
GBP*	1.35	-0.3%	0.2%
JPY	154.42	0.6%	1.5%
KRW	1350.08	0.8%	7.0%
CNY	6.71	0.1%	4.1%
CNH	6.71	0.1%	3.9%
HKD	7.84	0.0%	-0.8%
SGD	1.27	0.3%	1.4%

* Per one US dollar, except GBP, EURO and AUD
Source: Bloomberg
Note: earnings changes refer to next year.

UPCOMING CORPORATE EARNINGS CALENDAR

Company	Ticker	Earnings Date	C/E/T*
Dongfeng Motor	489 HK	Sept 14	E
J&T Express	1519 HK	Sept 14	E
Trip.com	TCOM US	Sept 15	C
Eco World Development Group	ECW MK	Sept 18	E
Gamuda	GAM MK	Sept 18	E

Source: Bloomberg
*C- Confirmed, E- Expected, T -Tentative

Appendix A-1

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-Assumptions, Significance and Limitation of Credit Ratings

Credit ratings are Moody's Investors Service, Inc.'s ("MIS") current opinions of the relative future credit risk of entities, credit commitments, or debt or debt-like securities. MIS defines credit risk as the risk that an entity may not meet its contractual, financial obligations as they come due and any estimated financial loss in the event of default. Credit ratings do not address any other risk, including but not limited to: liquidity risk, market value risk, or price volatility. Credit ratings do not constitute investment or financial advice, and credit ratings are not recommendations to purchase, sell, or hold particular securities. No warranty, express or implied, as to the accuracy, timeliness, completeness, merchantability or fitness for any particular purpose of any such rating or other opinion or information is given or made by MIS in any form or manner whatsoever.

Based on the information received from issuers or from public sources, the credit risks of the issuers or obligations are assessed. MIS adopts all necessary measures so that the information it uses in assigning a credit rating is of sufficient quality and from sources MIS considers to be reliable. However, MIS is not an auditor and cannot in every instance independently verify or validate information received in the rating process.

This information is based on information Nomura has received from sources it believes to be reliable as of January 1, 2025, but it does not guarantee accuracy or completeness of the information. For details, please refer to its website above.

Fitch

-Name of the rating agency group and registration number

Name of the rating agency group: Fitch Ratings (Fitch)

Name of the registered credit rating agency within the group and registration number:

Fitch Ratings Japan Limited. (Financial Services Agency Commissioner 7)

-The way of obtaining summary information on the policies and method used for assigning credit ratings

Please refer to the Japanese website of Fitch Ratings Japan Limited at (<https://www.fitchratings.com/ja>). Click 「規制関連」and access 「格付方針等の概要」.

-Assumptions, Significance and Limitation of Credit Ratings

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In issuing and maintaining its ratings, Fitch relies on factual information it receives from issuers and underwriters and from other sources Fitch believes to be credible. Fitch conducts a reasonable investigation of the factual information relied upon by it in accordance with its ratings methodology, and obtains reasonable verification of that information from independent sources, to the extent such sources are available for a given security or in a given jurisdiction. The assignment of a rating to any issuer or any security should not be viewed as a guarantee of the accuracy, completeness, or timeliness of the information relied on in connection with the rating or the results obtained from the use of such information. If any such information should turn out to contain misrepresentations or to be otherwise misleading, the rating associated with that information may not be appropriate. Despite any verification of current facts, ratings can be affected by future events or conditions that were not anticipated at the time a rating was issued or affirmed.

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Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.

When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J17 and subsequent issues, the maturity value shall not undercut the face amount.

Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction

payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors.

Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

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